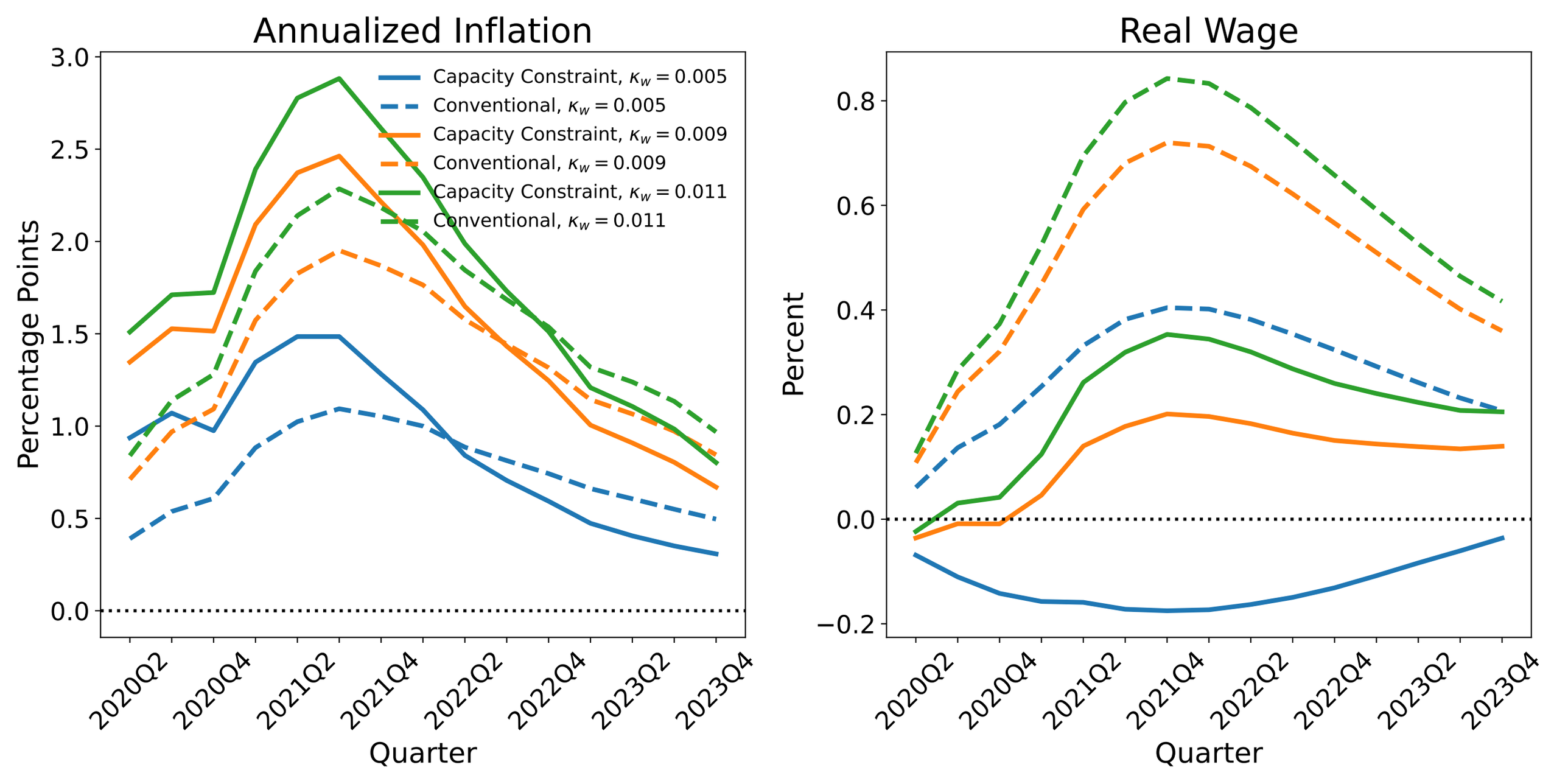
Annualized Inflation
Percentage Points
3.0
2.5
2.0
1.5
1.0
0.5
0.0
Capacity Constraint, $\kappa_w = 0.005$
Conventional, $\kappa_w = 0.005$
Capacity Constraint, $\kappa_w = 0.009$
Conventional, $\kappa_w = 0.009$
Capacity Constraint, $\kappa_w = 0.011$
Conventional, $\kappa_w = 0.011$
2020Q2
2020Q4
2021Q2
2021Q4
2022Q2
2022Q4
2023Q2
2023Q4
Quarter
Real Wage
Percent
0.8
0.6
0.4
0.2
0.0
−0.2
2020Q2
2020Q4
2021Q2
2021Q4
2022Q2
2022Q4
2023Q2
2023Q4
Quarter